

The Three R's of College: Reading, 'Riting and Revolving Debt

The college years are probably the first time in your life where your parents will not constantly monitor you. The hour you go to sleep or wake up, your activities, what you eat, whom you hang out with, and how you spend your money become your decisions, not theirs. This newfound independence can be quite liberating, as your parents' rules and guidance are no longer controlling your life to the extent they used to. However, this may cause you to make decisions that you are not truly knowledgeable about, just because you can.

Decisions involving credit cards will be yours as long as you are at least eighteen years old. Prior to this age, any credit cards you may have had were in your parents' name. Even though you were able to use the card, it still was your parents' account. Once you reach a legal age though, the card becomes yours and so does the liability.

You are free to have as many credit cards as you can obtain with a credit limit as high as you can qualify for. But being responsible for making spending decisions on your own also means being responsible for repaying the debt you've accumulated. You'll find that your freedom in choosing how to spend your available credit does not apply to your freedom in choosing how and when to repay it. There are payment deadlines and set amounts that you are required to repay. With some studies showing that as many as one third of college graduates have experienced problems with credit card debt, your credit obligations should be carefully considered prior to getting that first card.

Jane came from a small Midwestern town to attend Ohio State University, a school whose student body totals over 50,000 undergraduates. Jane knew almost everyone in her hometown and now she found herself living in a dorm with more people than her entire town's population. This "new world" was

